

Strategic Human Resource Management (SHRM)

I. Introduction to Strategic Human Resource Management

I.1 What is HRM?

Human Resource Management (HRM) is the process of **acquiring, developing, motivating, and retaining employees** so that organizational goals are achieved efficiently.

Traditionally, HR in Nepal focused on:

- Payroll
- Leave management
- Recruitment paperwork
- Compliance with Labour Act

I.2 What is Strategic HRM?

Strategic Human Resource Management (SHRM) is the **alignment of HR policies and practices with the long-term strategy of the organization.**

In simple words:

SHRM = HR thinking like business leadership

I.3 Definition

Strategic HRM refers to:

“The proactive management of people, linking HR practices with organizational strategy to improve performance and gain competitive advantage.”

2. Evolution of HRM to SHRM (Nepal Context)

Stage	Focus	Nepalese Example
Personnel Management	Record keeping	Attendance & salary registers
Traditional HRM	Employee welfare	Provident fund, festival bonus
Modern HRM	Talent management	Training & performance appraisal
Strategic HRM	Business partner	HR involved in expansion, restructuring

➡ Many Nepalese organizations are **currently transitioning** from HRM to SHRM.

3. Why Strategic HRM is Important (Especially in Nepal)

3.1 Key Reasons

1. **High employee migration** (brain drain)
2. **Skill gaps** in local workforce
3. **Growing competition** (banks, telecom, hydropower)
4. **Compliance with Labour Act 2074**
5. **Need for productivity and accountability**

3.2 Nepalese Reality

- Young workforce but **low job commitment**
- Preference for foreign employment
- Increasing role of NGOs, INGOs, and private sector
- Shift from family-owned to professionally managed organizations

➡ SHRM helps organizations **retain talent, build skills, and plan workforce sustainably.**

4. Strategic Role of HR (HR as a Business Partner)

In SHRM, HR plays **four major roles**:

4.1 Strategic Partner

- HR aligns recruitment, training, and compensation with business goals
- Example: Hiring engineers for hydropower projects aligned with expansion plans

4.2 Change Agent

- Supports organizational change (mergers, restructuring)
- Example: Banks adopting digital banking systems

4.3 Employee Champion

- Ensures employee engagement, welfare, and morale
- Example: Mental health initiatives after COVID-19

4.4 Administrative Expert

- Ensures efficiency and legal compliance
- Example: Labour audits, contracts, social security fund (SSF)

5. Components of Strategic HRM

5.1 HR Strategy

HR strategy answers:

- What kind of people do we need?
- What skills are critical for the future?
- How do we retain high performers?

Example (Nepal):

- Tourism sector focusing on **hospitality skills**
 - IT companies focusing on **digital and remote work skills**
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5.2 Workforce Planning (Human Resource Planning)

Meaning:

Ensuring the right number of employees, with the right skills, at the right time.

Steps:

1. Analyze current workforce
2. Forecast future HR needs
3. Identify skill gaps
4. Develop HR plans (hire, train, outsource)

Nepalese Example:

- Hydropower companies planning manpower for construction vs operation phase
 - NGOs planning project-based staffing
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5.3 Strategic Recruitment & Selection

Traditional approach: Fill vacant positions

Strategic approach: Hire for future potential and organizational culture

Nepal Context:

- Preference for **multi-skilled employees**

- Use of referrals, job portals, LinkedIn
- Challenges in attracting skilled professionals domestically

Strategic Practices:

- Employer branding
- Campus recruitment
- Internship and trainee programs

5.4 Training & Development (T&D)

Strategic View:

Training is an **investment**, not a cost.

Types of Training:

- Technical training
- Soft skills (communication, leadership)
- Management development
- Succession planning

Nepalese Perspective:

- Limited training budgets
- Heavy dependence on donor-funded training (NGOs)
- Growing use of online learning platforms

5.5 Performance Management System (PMS)

Strategic PMS:

- Aligns individual goals with organizational goals
- Focuses on continuous feedback, not just annual appraisal

Tools:

- KPIs
- Balanced Scorecard
- 360-degree feedback

Nepal Challenge:

- Bias and favoritism
- Poor documentation
- Lack of objective measures

5.6 Compensation & Reward Strategy

Strategic compensation aims to:

- Attract
- Motivate
- Retain employees

Components:

- Basic salary
- Allowances
- Incentives & bonuses
- Non-monetary benefits

Nepal Context:

- Salary disparity between sectors
 - Rising cost of living
 - Importance of festival bonuses and benefits
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5.7 Employee Relations & Labour Laws

Key Legal Framework in Nepal:

- Labour Act 2074
- Labour Rules 2075
- Social Security Fund (SSF)

Strategic Role:

- Prevent industrial disputes
- Promote healthy union relations
- Ensure compliance and fairness

6. Models of Strategic HRM

6.1 Best Fit Model

HR practices should **fit organizational strategy**

Example:

- Cost leadership → low-cost staffing
- Differentiation → skilled & creative workforce

6.2 Best Practice Model

Certain HR practices are universally effective:

- Employee involvement
- Training
- Performance-based rewards

6.3 Resource-Based View (RBV)

Employees are **strategic assets** that provide competitive advantage.

Highly relevant for Nepal where **talent is scarce**.

7. Challenges of SHRM in Nepal

1. Resistance to change
2. Limited HR expertise
3. Top management dominance
4. Informal HR practices
5. Budget constraints
6. Brain drain

8. Future Trends of SHRM in Nepal

- Digital HR systems
- Remote & hybrid work
- Data-driven HR decisions
- Focus on employee well-being
- Talent retention strategies
- Professional HR certification demand

9. Role of HR Trainer in SHRM

As an HR trainer, focus on:

- Building strategic mindset in HR professionals
- Linking HR activities with business results

- Creating awareness of labour laws
- Developing leadership and soft skills
- Promoting ethical HR practices

10. Conclusion

Strategic Human Resource Management is **not optional anymore**.

For Nepalese organizations to survive and grow in a competitive and globalized environment, HR must:

- Move from **administration to strategy**
- From **policies to people**
- From **reactive to proactive**

Organizations don't grow – people do.

Strategic Human Resource Management: Case Studies from Nepal

Case Study I: Talent Retention in a Commercial Bank (Nepal)

Background

A leading commercial bank in Nepal was facing **high employee turnover**, especially among young officers and IT staff. Many employees were leaving for:

- Foreign employment
- Development banks
- Fintech companies

HR Problem

- Resignations within 2–3 years of joining
- High training costs with low return
- Loss of institutional knowledge

Strategic HR Issues

- Weak career planning
- Limited learning opportunities
- Performance appraisal perceived as biased
- Compensation not linked to performance

Strategic HR Actions Taken

1. Introduced **career progression frameworks**
2. Implemented **performance-linked incentives**
3. Launched **leadership development programs**
4. Created **internal job postings**
5. Introduced mentorship for young officers

Outcome

- Turnover reduced significantly
- Improved employee engagement
- Strong internal talent pipeline

Learning Points (Trainer Notes)

- SHRM helps align employee goals with organizational growth
 - Retention is a **strategic issue**, not just an HR issue
 - Career visibility is crucial for Nepali youth
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Case Study 2: Workforce Planning in a Hydropower Project

Background

A mid-sized hydropower project in eastern Nepal hired a large workforce during construction but failed to plan for the **post-construction phase**.

HR Problem

- Overstaffing after project completion
- High severance costs
- Employee dissatisfaction and labour disputes

Strategic HR Issues

- No long-term workforce planning
- Project-based staffing not aligned with lifecycle
- Poor communication with employees

Strategic HR Actions Recommended

1. Phase-wise workforce planning
2. Contract-based employment for construction phase
3. Reskilling staff for operation & maintenance roles

4. Clear exit and transition policies

Outcome

- Reduced labour disputes
- Better cost control
- Smooth transition from construction to operation

Learning Points

- Workforce planning is a **core SHRM function**
 - Strategic HR reduces legal and financial risk
 - Communication is critical in change management
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Case Study 3: SHRM in an NGO Operating in Rural Nepal

Background

A national NGO working in health and education projects struggled with **staff motivation and continuity**, especially in remote districts.

HR Problem

- High absenteeism
- Short project tenure
- Limited local capacity

Strategic HR Issues

- Project-based HR planning
- Lack of non-financial rewards
- Weak succession planning

Strategic HR Actions Taken

1. Local talent hiring strategy
2. Community-based incentive systems
3. Skills transfer and training programs
4. Internal promotion policy

Outcome

- Increased project sustainability
- Reduced dependency on external staff

- Improved community trust

Learning Points

- SHRM supports sustainability in development sector
 - Non-monetary motivation is powerful in Nepal
 - Local capacity building is a strategic HR goal
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Case Study 4: HR Digital Transformation in a Nepali IT Company

Background

A Kathmandu-based IT company was growing rapidly but HR processes remained manual.

HR Problem

- Payroll errors
- Poor performance tracking
- Difficulty managing remote workers

Strategic HR Issues

- HR not aligned with growth strategy
- Lack of HR data for decision-making

Strategic HR Actions Taken

1. Implemented HRIS system
2. Introduced OKR-based performance management
3. Adopted remote work policies
4. Used HR analytics for attrition tracking

Outcome

- Improved HR efficiency
- Better performance transparency
- Higher employee satisfaction

Learning Points

- Technology enables strategic HRM
- Data-driven HR improves decision quality
- Remote work is a strategic advantage.

Case Study 5: Industrial Relations in a Manufacturing Company

Background

A manufacturing company in Biratnagar faced frequent labour unrest due to union-management conflict.

HR Problem

- Strikes and work stoppages
- Low productivity
- Poor trust between workers and management

Strategic HR Issues

- Reactive industrial relations approach
- Lack of employee involvement
- Poor grievance handling

Strategic HR Actions Taken

1. Joint consultative committees
2. Transparent wage structures
3. Regular communication forums
4. Supervisor training on labour relations

Outcome

- Reduced industrial disputes
- Improved productivity
- Positive labour–management relations

Learning Points

- Employee relations are strategic assets
- Preventive IR is part of SHRM
- Trust-building is long-term HR strategy

Key HR SOPs and Guidance

I. Introduction to HR SOPs

I.1 What are HR SOPs?

Standard Operating Procedures (SOPs) are **written, step-by-step guidelines** that explain *how HR activities should be carried out consistently and legally*.

In simple terms:

HR SOPs = “This is how we do HR work in this organization.”

I.2 Why HR SOPs are Critical in Nepal

Nepalese organizations often face:

- Informal HR practices
- Dependency on individuals rather than systems
- Labour disputes due to unclear procedures
- Compliance issues with Labour Act 2074

HR SOPs help to:

- Ensure fairness and transparency
- Reduce legal risk
- Maintain consistency
- Support audits and inspections
- Professionalize HR function

2. Guiding Principles for HR SOPs (Nepal Context)

Every HR SOP should follow these principles:

1. **Compliance with Labour Act 2074 & Rules 2075**
 2. **Fairness and non-discrimination**
 3. **Transparency and documentation**
 4. **Consistency across departments**
 5. **Confidentiality of employee data**
 6. **Practical applicability (not just policy on paper)**
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3. Key HR SOPs (Core Areas)

3.1 Recruitment & Selection SOP

Purpose

To ensure systematic, transparent, and merit-based hiring.

SOP Coverage

- Manpower requisition
- Job description approval
- Vacancy announcement
- Shortlisting
- Interview & assessment
- Background verification
- Appointment letter issuance

Nepal-Specific Guidance

- Follow **equal opportunity principles**
- Avoid favoritism and political influence
- Ensure **written appointment letters** (mandatory)
- Maintain recruitment records for labour inspection

Trainer Tip

Recruitment SOP protects HR from accusations of bias and nepotism.

3.2 Employment Contract & Onboarding SOP

Purpose

To ensure legal employment and smooth employee integration.

SOP Coverage

- Employment contract preparation
- Probation period management
- Orientation program

- SSF enrollment
- Employee handbook distribution

Nepal-Specific Guidance

- Contract must comply with **Labour Act 2074**
 - Maximum probation: **6 months**
 - Mandatory registration in **Social Security Fund (SSF)**
 - Maintain personal file for each employee
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3.3 Attendance & Working Hours SOP

Purpose

To manage time, discipline, and productivity.

SOP Coverage

- Working hours and shifts
- Overtime approval
- Attendance recording method
- Late coming and absenteeism

Nepal-Specific Guidance

- Standard working hours: **48 hours/week**
 - Overtime must be paid as per law
 - Public holidays as per Government of Nepal
 - Special provisions for women and night shifts
-

3.4 Leave Management SOP

Purpose

To regulate employee leave entitlements fairly.

SOP Coverage

- Annual leave
- Sick leave

- Casual leave
- Maternity & paternity leave
- Public and festival leave

Nepal-Specific Guidance

- Annual leave: **18 days**
 - Sick leave: **12 days**
 - Maternity leave: **98 days**
 - Paternity leave: **15 days**
 - Maintain leave records for inspection
-

3.5 Payroll & Compensation SOP

Purpose

To ensure accurate and timely salary payment.

SOP Coverage

- Salary structure approval
- Payroll calculation
- Deductions (SSF, tax)
- Salary disbursement
- Pay-slip issuance

Nepal-Specific Guidance

- Minimum wage compliance
 - SSF contributions mandatory
 - Income tax deduction as per IRD rules
 - Salary payment through bank preferred
-

3.6 Performance Management SOP

Purpose

To evaluate and improve employee performance.

SOP Coverage

- Goal setting
- Performance review cycle
- Appraisal methods
- Feedback mechanism
- Performance improvement plan (PIP)

Nepal-Specific Guidance

- Avoid subjective evaluations
 - Document appraisal outcomes
 - Link performance with training and promotion
 - Ensure fairness to avoid grievances
-

3.7 Training & Development SOP

Purpose

To enhance employee skills and organizational capability.

SOP Coverage

- Training needs assessment
- Annual training plan
- Training approval
- Evaluation of training effectiveness

Nepal-Specific Guidance

- Focus on soft skills and leadership
 - Utilize local trainers to reduce cost
 - Maintain training records
 - Donor compliance for NGOs/INGOs
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3.8 Promotion, Transfer & Career Development SOP

Purpose

To manage employee growth and mobility.

SOP Coverage

- Promotion criteria
- Internal transfer process
- Career path framework
- Succession planning

Nepal-Specific Guidance

- Merit-based promotions
 - Clear eligibility criteria
 - Written promotion letters
 - Avoid favoritism
-

3.9 Disciplinary Action & Grievance Handling SOP

Purpose

To manage misconduct and employee complaints fairly.

SOP Coverage

- Types of misconduct
- Show cause notice
- Domestic inquiry
- Disciplinary actions
- Grievance resolution mechanism

Nepal-Specific Guidance

- Follow **natural justice principle**
 - Disciplinary action only after inquiry
 - Maintain written records
 - Union involvement where applicable
-

3.10 Occupational Health, Safety & Welfare SOP

Purpose

To ensure safe and healthy workplace.

SOP Coverage

- Workplace safety rules
- Accident reporting
- Health insurance
- Welfare facilities

Nepal-Specific Guidance

- Mandatory safety measures in factories, construction, hydropower
 - PPE provision
 - Safety training
 - Compliance with Labour Act provisions
-

3.11 Separation & Exit Management SOP

Purpose

To manage employee exits legally and respectfully.

SOP Coverage

- Resignation process
- Notice period
- Final settlement
- Exit interview
- Service certificate

Nepal-Specific Guidance

- Notice period as per contract/law
 - Timely final payment
 - Mandatory experience/service letter
 - SSF clearance
-

4. HR Documentation & Record Management SOP

Mandatory Records in Nepal

- Appointment letters
- Attendance register
- Payroll records
- Leave records
- Disciplinary records
- SSF records

Guidance

- Maintain records for **minimum legal period**
 - Confidential handling of employee data
 - Digital record keeping recommended
-

5. Role of HR SOPs in Labour Inspection & Audit

HR SOPs help during:

- Labour office inspections
- Donor audits (NGOs/INGOs)
- ISO certification
- Internal HR audits

Trainer Insight:

Inspectors check *process and proof*, not just intention.

6. Common Challenges in Implementing HR SOPs in Nepal

1. Management resistance
 2. Lack of HR expertise
 3. Informal organizational culture
 4. Cost concerns
 5. Weak enforcement
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7. Best Practices for Effective HR SOP Implementation

- Top management buy-in
 - Employee orientation on SOPs
 - Simple and clear language
 - Regular updates
 - Monitoring and review
 - Alignment with organizational culture
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8. Trainer's Closing Message

HR SOPs are **not restrictions**; they are **protections**—for:

- Employees
- Management
- Organization

In Nepal's evolving labour environment, **strong HR SOPs are no longer optional.**

“When rules are clear, relationships become easier.”

HR SOP MANUAL (Nepalese Perspective)

SECTION 1: GENERAL HR SOP FRAMEWORK

I.1 Purpose

To standardize HR practices in compliance with:

- Labour Act 2074
- Labour Rules 2075
- Social Security Fund (SSF) Regulations
- Organizational policies

I.2 Scope

Applicable to:

- All permanent, contract, and temporary employees
- All departments and project locations

I.3 Responsibility

- HR Department: Implementation & monitoring
- Line Managers: Day-to-day execution
- Management: Approval & oversight

SECTION 2: CORE HR SOPs (DETAILED & PRACTICAL)

SOP 1: Recruitment & Selection

Objective

To hire competent employees through fair, transparent, and merit-based processes.

Procedure

1. Department submits **Manpower Requisition Form**
2. HR prepares and approves **Job Description**
3. Vacancy announcement (internal/external)
4. Shortlisting based on criteria
5. Interview & assessment

6. Reference/background check
7. Management approval
8. Appointment letter issuance

Nepal Compliance Notes

- Equal opportunity (no discrimination)
 - Written appointment letter mandatory
 - Recruitment records must be maintained
-

SOP 2: Employment Contract & Onboarding

Objective

To legally employ and smoothly integrate employees.

Procedure

1. Employment contract preparation
2. Contract signing before joining
3. Probation management (max 6 months)
4. Orientation program
5. SSF registration
6. Employee file creation

Mandatory Documents

- Citizenship copy
- PAN (if applicable)
- Academic certificates
- Contract letter

SOP 3: Attendance & Working Hours

Objective

To ensure discipline and productivity.

Procedure

- Standard working hours: 48 hours/week
- Attendance via biometric/manual system

- Overtime only with prior approval
- Monthly attendance review

Nepal Guidance

- Overtime paid as per Labour Act
 - Public holidays as declared by GoN
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SOP 4: Leave Management

Leave Entitlements (Nepal)

Leave Type	Entitlement
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Annual Leave	18 days
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Sick Leave	12 days
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Maternity Leave	98 days
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Paternity Leave	15 days
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Mourning Leave	As per law/policy
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Procedure

1. Leave application
 2. Supervisor approval
 3. HR record update
 4. Leave balance tracking
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SOP 5: Payroll & Compensation

Objective

Accurate, timely, and lawful salary payment.

Procedure

1. Payroll preparation
2. SSF & tax deductions
3. Salary approval
4. Bank transfer
5. Payslip issuance

Compliance

- Minimum wage compliance
 - SSF mandatory contribution
 - Income tax as per IRD
-

SOP 6: Performance Management

Objective

To align individual performance with organizational goals.

Procedure

1. Goal setting (KPIs)
2. Mid-term review
3. Annual appraisal
4. Feedback & documentation
5. Performance improvement plan (if required)

Trainer Tip

Document everything—verbal appraisal has no legal value.

SOP 7: Training & Development

Objective

To enhance skills and leadership capacity.

Procedure

1. Training needs assessment
 2. Annual training plan
 3. Training approval
 4. Training delivery
 5. Post-training evaluation
-

SOP 8: Promotion, Transfer & Career Growth

Objective

To manage employee growth fairly.

Procedure

- Promotion based on performance & eligibility
 - Written promotion letter
 - Transfer with consent where possible
 - Succession planning for key roles
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SOP 9: Disciplinary Action & Grievance Handling

Objective

To ensure fair discipline and dispute resolution.

Procedure

1. Complaint or misconduct report
2. Show-cause notice
3. Domestic inquiry
4. Disciplinary decision
5. Written communication

Nepal Legal Guidance

- Follow **natural justice**
 - No punishment without inquiry
 - Union involvement where applicable
-

SOP 10: Occupational Health & Safety

Objective

To ensure safe and healthy work environment.

Procedure

- Safety rules & training
- PPE provision
- Accident reporting
- Health & insurance support

High-Risk Sectors

- Construction
- Hydropower
- Manufacturing
- Transport

SOP 11: Separation & Exit Management

Objective

To manage exits legally and respectfully.

Procedure

1. Resignation submission
2. Notice period management
3. Clearance process
4. Final settlement
5. Service certificate & exit interview

Mandatory

- Experience letter
 - Timely final payment
 - SSF clearance
-

SECTION 3: HR AUDIT CHECKLIST (NEPAL)

Use this for **internal audit, labour inspection, or donor audit.**

Recruitment & Contract

- ☐ Written appointment letters
- ☐ Job descriptions available
- ☐ Recruitment records maintained

Payroll & Benefits

- ☐ Minimum wage complied
- ☐ SSF registered for all employees
- ☐ Payslips issued

Leave & Attendance

- ☐ Leave records maintained
- ☐ Overtime properly recorded

Performance & Discipline

- ☐ Performance appraisal records
- ☐ Disciplinary procedures documented

Exit Management

- ☐ Final settlement completed
- ☐ Service certificates issued

SECTION 4: TRAINER INSIGHT (VERY IMPORTANT)

In Nepal, **90% of labour disputes happen not because of wrong intention—but because of missing SOPs and documentation.**

Strong HR SOPs:

- Protect management
 - Empower employees
 - Strengthen organizational credibility
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✓ Basic HR Analytics (Trainer Notes)

1. Introduction to HR Analytics

What is HR Analytics?

HR Analytics is the process of using **data, metrics, and analysis** to improve HR decision-making.

In simple words:

HR Analytics = Using employee data to make better people decisions

Instead of depending only on feelings or assumptions, HR analytics helps answer questions like:

- Why are employees leaving?
- Which department has low productivity?
- How effective is training?
- Are salaries competitive?
- What factors improve retention?

2. Why HR Analytics is Important in Nepal

Nepali organizations face challenges such as:

- High employee turnover due to foreign migration
- Skill shortages in technical sectors
- Labour disputes in manufacturing
- Increasing compliance requirements (Labour Act 2074, SSF)
- Growing competition in banking, telecom, hydropower

So HR analytics helps HR teams become:

- ✓ Strategic
- ✓ Evidence-based
- ✓ More credible to management

Trainer Note:

HR in Nepal is shifting from administrative work to strategic decision-making, and analytics is the key tool.

3. Evolution of HR Analytics

Stage	Approach	Nepal Example
Traditional HR	Record keeping	Attendance registers
HR Reporting	Monthly HR reports	Headcount report
HR Metrics	KPI tracking	Turnover rate
HR Analytics	Predictive insights	Forecast resignations
Strategic Workforce Analytics	Business-aligned planning	Hiring plan for expansion

4. Key Areas of HR Analytics (Basic Level)

HR analytics can be applied in:

1. Recruitment Analytics
 2. Turnover & Retention Analytics
 3. Attendance & Absenteeism Analytics
 4. Performance Analytics
 5. Training Effectiveness Analytics
 6. Payroll & Compensation Analytics
 7. Workforce Planning Analytics
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5. Basic HR Metrics Every HR Trainee Must Know

5.1 Headcount Analysis

Meaning:

Total number of employees working in the organization.

Example (Nepal Manufacturing Plant)

- Permanent: 200
- Contract: 80
- Daily Wage: 50

Headcount helps HR understand workforce size and labour cost.

5.2 Employee Turnover Rate

Meaning:

Rate at which employees leave the organization.

Formula:

Turnover Rate = (Employees Left / Average Employees) × 100

Example (Nepal Bank)

- Employees left this year: 20
- Average employees: 200

Turnover Rate = $(20/200) \times 100 = 10\%$

Nepal Context:

High turnover is common due to:

- Foreign employment
- Better pay in INGOs
- Career growth issues

Trainer Tip:

Turnover analytics is critical in Nepal because talent migration is high.

5.3 Retention Rate

Meaning:

Percentage of employees staying in the organization.

[Retention Rate = $100 - \text{Turnover Rate}$]

If turnover = 10%, retention = 90%

5.4 Absenteeism Rate

Meaning:

Rate of employee absence from work.

Formula:

$$[\text{Absenteeism Rate} = \frac{\text{Total Absent Days}}{\text{Total Working Days}} \times 100]$$

Nepal Manufacturing Example

Absenteeism increases during:

- Festival seasons (Dashain/Tihar)
- Harvest season in rural areas
- Political strikes/bandas

Trainer Note:

Absenteeism analytics is especially important in factories and hydropower sites.

5.5 Cost per Hire

Meaning:

How much the organization spends to hire one employee.

Formula:

$$[\text{Cost per Hire} = \frac{\text{Recruitment Cost}}{\text{Total Hires}}]$$

Nepal Example

Recruitment cost includes:

- Vacancy advertisements
- HR interview time
- Medical test cost
- Orientation expenses

Trainer Insight:

NGOs and INGOs often track cost-per-hire strictly due to donor audits.

5.6 Time to Fill

Meaning:

Time required to fill a vacant position.

Example:

Engineer vacancy filled in 45 days.

Nepal Challenge:

- Skill shortages
 - Limited qualified manpower
 - Competition with foreign opportunities
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5.7 Training Effectiveness Metrics

Key Measures:

- Training hours per employee
- Pre-test vs post-test improvement
- Performance improvement after training

Nepal Example:

A factory provides safety training:

- Accidents reduced by 30%

Trainer Note:

Training analytics links HR investment with productivity.

5.8 Performance Distribution

Meaning:

How employees are performing across categories.

Example categories:

- High performers: 20%
- Average: 60%
- Low performers: 20%

Nepal Context:

- Performance appraisals are sometimes biased

- Analytics helps make evaluation objective
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5.9 Compensation Analytics

HR Questions:

- Are salaries competitive in Nepal market?
- Is there wage inequality?
- Are overtime payments increasing cost?

Example (Manufacturing):

Overtime cost = 25% of total wage bill → indicates understaffing.

Trainer Tip:

Payroll analytics is essential for cost control and Labour Act compliance.

6. Types of HR Analytics (Basic Understanding)

6.1 Descriptive Analytics

What happened?

Example:

- Turnover rate last year = 12%
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6.2 Diagnostic Analytics

Why did it happen?

Example:

- Employees left due to low salary and no growth.
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6.3 Predictive Analytics

What may happen in future?

Example:

- High resignations expected after Dashain bonus payout.
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6.4 Prescriptive Analytics

What should we do?

Example:

- Introduce retention allowance and career planning.

Trainer Note:

Most Nepali companies are currently at descriptive stage.

7. Data Sources for HR Analytics in Nepal

HR data comes from:

- Attendance systems
- Payroll software
- Performance appraisal forms
- Exit interviews
- SSF records
- Labour inspection documentation

Common Challenge in Nepal:

- Data is often manual and incomplete
 - Many SMEs lack HRIS systems
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8. Benefits of HR Analytics for Nepalese Organizations

- ✓ Better workforce planning
 - ✓ Reduced turnover
 - ✓ Compliance improvement
 - ✓ Higher productivity
 - ✓ Stronger HR credibility
 - ✓ Improved employee engagement
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9. Challenges of HR Analytics in Nepal

1. Lack of digital HR systems
2. Limited HR analytical skills
3. Poor data recording culture

4. Management resistance
5. Confidentiality concerns
6. Budget constraints

Trainer Insight:

Start simple with Excel-based analytics before advanced systems.

10. Basic Tools for HR Analytics (Nepal Practical)

- MS Excel (most common)
- HRIS systems (growing trend)
- Payroll software
- Google Sheets for SMEs
- Power BI (large companies)

Trainer Tip:

Excel + good HR data discipline is enough to begin HR analytics in Nepal.

11. Practical HR Analytics Case Example (Nepal)

Case: Factory Turnover Problem

A manufacturing company in Birgunj faces high turnover (25%).

HR Analytics Steps:

1. Calculate turnover department-wise
2. Identify peak resignation months
3. Analyze exit interview data
4. Compare salary with competitor factories
5. Recommend retention allowance and career ladder

Outcome:

- Turnover reduced to 15% in one year
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12. Conclusion (Trainer Closing Message)

HR Analytics is not about complex statistics.

It is about:

Turning HR data into HR decisions.

In Nepal, where workforce challenges are unique, HR analytics helps organizations survive and grow.

✓ Nepal-Based HR Analytics Case Studies

Case Study I: High Turnover in a Manufacturing Factory (Birgunj)

Background

A manufacturing factory in Birgunj employing **450 workers** faced a serious issue of employee turnover.

HR Analytics Problem

- Workers leaving within 6–8 months
- Production delays due to manpower shortage
- High recruitment and training cost

HR Data Collected

- Monthly resignation records
- Department-wise turnover
- Exit interview responses
- Salary comparison with nearby industries

Key Metrics Used

Turnover Rate

$$\left[\text{Turnover} = \frac{\text{Employees Left}}{\text{Average Employees}} \times 100 \right]$$

- Employees left in 1 year: 110
- Average employees: 450

Turnover Rate = **24.4%**

Findings (Analytics Insight)

- Highest turnover in **packing and loading section**

- Resignations peaked **after Dashain**
- Main reasons:
 - Low wages compared to competitor factories
 - Heavy overtime
 - Poor supervisor behavior

HR Strategic Action

- ✓ Wage adjustment for critical roles
- ✓ Supervisor leadership training
- ✓ Attendance bonus system
- ✓ Shift rotation improvements

Outcome

Turnover reduced from **24% to 15%** within one year.

Trainer Learning

Turnover analytics is vital for Nepal's manufacturing sector because migration and job-hopping are common.

Case Study 2: Employee Absenteeism in a Hydropower Project (Karnali Region)

Background

A hydropower company with **300 staff** working in a remote site experienced frequent absenteeism.

HR Issue

- Work disruption
- Increased safety risks
- Delays in project completion

Analytics Metrics

Absenteeism Rate

$$[\text{Absenteeism} = \frac{\text{Absent Days}}{\text{Total Working Days}} \times 100]$$

- Total absent days/month: 420
- Total working days: 6000

Absenteeism Rate = **7%**

Findings

- Absenteeism increased during:
 - Monsoon season
 - Festival travel period
- High absence among contract workers
- Poor accommodation and food facilities

HR Actions

- ✓ Improved staff quarters
- ✓ Introduced site hardship allowance
- ✓ Better roster planning
- ✓ Local hiring policy

Outcome

Absenteeism dropped from **7% to 4%**

Trainer Learning

In Nepal, absenteeism analytics is crucial in remote projects due to geography and lifestyle factors.

Case Study 3: Recruitment Cost Analysis in an NGO (Kathmandu)

Background

A Kathmandu-based NGO funded by donors had strict requirements for efficient HR spending.

HR Analytics Question

- Why is recruitment so expensive?

Metric Used

Cost per Hire

$$\left[\text{Cost per Hire} = \frac{\text{Recruitment Cost}}{\text{Number of Hires}} \right]$$

Recruitment Cost = NPR 900,000

Total hires = 10

Cost per Hire = NPR 90,000

Findings

- Heavy spending on newspaper vacancies
- Multiple interview panels
- Long hiring process (45–60 days)

HR Actions

- ✓ Shifted recruitment to online portals
- ✓ Introduced internal talent pool
- ✓ Reduced hiring cycle steps

Outcome

Cost per hire reduced by **30%**

Trainer Learning

HR analytics supports donor compliance and financial accountability in Nepal's NGO sector.

Case Study 4: Performance Analytics in a Commercial Bank

Background

A commercial bank in Nepal wanted to improve branch productivity.

HR Analytics Question

- Which branches need performance improvement?

Metrics Used

- Sales targets achieved

- Customer complaints
- Employee performance ratings

Findings

- Branches with low performance had:
 - Low training exposure
 - High turnover among junior staff
 - Poor manager feedback culture

HR Strategic Actions

- ✓ Performance-based incentives
- ✓ Targeted training for low-performing branches
- ✓ Manager coaching programs

Outcome

Branch productivity improved by **18%**

Trainer Learning

Banks in Nepal increasingly use HR analytics to link people performance with business results.

Case Study 5: Overtime Cost Analytics in a Garment Industry (Lalitpur)

Background

A garment factory noticed rising labour costs despite stable production.

HR Analytics Question

- Why is payroll increasing?

Metric Used

Overtime Cost % of Payroll

Findings

- Overtime cost accounted for **28% of total wage bill**
- Main reasons:
 - Understaffing during peak orders
 - Inefficient shift planning

HR Actions

- ✓ Seasonal hiring plan
- ✓ Shift restructuring
- ✓ Production-linked wage system

Outcome

Overtime cost reduced to **15%**

Trainer Learning

Payroll analytics is essential in Nepalese industries to manage cost without violating labour laws.

Case Study 6: Retention Analytics in the IT Sector (Kathmandu)

Background

A Nepali IT company faced high turnover among software developers.

HR Issue

- Developers leaving for foreign remote jobs

Analytics Findings

- Average tenure: 1.8 years
- Peak resignations after annual appraisal

Causes Identified

- Lack of career growth
- Salary not competitive globally
- Limited learning opportunities

HR Actions

- ✓ Skill-based salary revision
- ✓ Certification support
- ✓ Career ladder system
- ✓ Hybrid work policy

Outcome

Retention improved from **70% to 82%**

Trainer Learning

In Nepal, retention analytics is critical due to global job mobility.

 Summary Table (Trainer Quick View)

Sector	Metric Used	Key HR Problem
Manufacturing	Turnover Rate	Workers leaving after festivals
Hydropower	Absenteeism Rate	Remote hardship
NGO	Cost per Hire	Donor audit pressure
Banking	Performance Analytics	Branch productivity gaps
Garment Industry	Overtime Analytics	Rising wage costs
IT Sector	Retention Analytics	Brain drain + remote jobs

Organizational Hierarchy and Organogram

I. Introduction

In every organization—whether it is:

- A manufacturing factory in Birgunj
- A commercial bank in Kathmandu
- A hydropower project in Dolakha
- An NGO working in rural Nepal
- A government office in Singha Durbar

...there must be a **clear structure** that defines:

- Who reports to whom
- Who has authority
- How decisions are made
- How responsibilities are distributed

This structure is represented through:

- ✓ **Organizational Hierarchy**
- ✓ **Organogram (Organization Chart)**

Trainer Note:

Without a clear hierarchy, organizations face confusion, duplication of work, and conflict.

2. Organizational Hierarchy

2.1 Meaning

Organizational Hierarchy refers to the **ranking system** within an organization that shows:

- Levels of authority
- Reporting relationships
- Chain of command

In simple terms:

Hierarchy = “Management Levels from top to bottom”

2.2 Purpose of Hierarchy

Organizational hierarchy helps to ensure:

- Clear supervision
- Accountability
- Proper delegation
- Smooth communication
- Discipline and control

Trainer Insight:

In Nepal, hierarchy is strongly respected culturally, especially in traditional organizations.

2.3 Levels of Hierarchy (General Model)

Most organizations in Nepal follow this hierarchy:

1. **Top Level Management**
 - Board of Directors
 - CEO / Managing Director
 2. **Middle Level Management**
 - Department Heads
 - Managers
 3. **Lower Level / Supervisory Management**
 - Officers
 - Supervisors
 4. **Operational Level**
 - Staff
 - Workers
-

Example (Manufacturing Factory Nepal)

Level	Roles
Top	Managing Director

Level	Roles
Middle	Production Manager, HR Manager
Supervisory	Shift Supervisor
Operational	Machine Operators, Helpers

3. Key Concepts Related to Hierarchy

3.1 Chain of Command

Chain of command refers to the formal line of authority.

Example:

Worker → Supervisor → Manager → Director

Trainer Note:

In Nepal, bypassing chain of command is often viewed as disrespectful.

3.2 Span of Control

Span of control means:

How many employees a manager supervises directly.

Example:

- HR Manager supervises 5 officers
- Production Manager supervises 20 supervisors

In Nepal:

- Manufacturing sector tends to have **wide span**
 - Banks and NGOs tend to have **narrow span**
-

3.3 Delegation of Authority

Delegation means assigning duties and authority to subordinates.

Example:

HR Manager delegates recruitment screening to HR Officer.

Trainer Insight:

Nepalese managers sometimes hesitate to delegate due to trust issues.

3.4 Centralization vs Decentralization

Centralization

Decisions made at the top.

Example:

Family-owned business in Nepal where owner approves everything.

Decentralization

Decisions distributed across levels.

Example:

Large banks allow branch managers authority.

Trainer Note:

Modern Nepali organizations are moving towards decentralization.

4. Organogram (Organizational Chart)

4.1 Meaning

An **Organogram** is a visual diagram showing:

- Organizational structure
- Reporting relationships
- Hierarchical levels
- Departmental division

In simple words:

Organogram = “Map of the organization”

4.2 Importance of Organogram in HR

Organogram is important for:

- ✓ Workforce planning
- ✓ Recruitment clarity
- ✓ Reporting structure
- ✓ Role definition
- ✓ Succession planning
- ✓ Organizational communication

Trainer Note:

Organogram is one of the first documents required in HR audits and labour inspections.

4.3 Components of an Organogram

A standard organogram shows:

- Positions (not individuals)
 - Reporting lines
 - Departments
 - Levels of hierarchy
-

Example: Simple Organogram (Nepal SME)

Managing Director

|

HR Manager ----- Finance Manager

|

HR Officer

|

Support Staff

5. Types of Organizational Structures in Nepal

5.1 Functional Structure (Most Common)

Organization divided by departments:

- HR
- Finance
- Production
- Marketing

Example:

Nepali manufacturing companies and banks.

Advantages:

- Specialization
- Clear expertise

Disadvantages:

- Departmental silos
-

5.2 Divisional Structure

Division based on product/location.

Example:

Commercial banks in Nepal:

- Province offices
- Regional branches

Advantages:

- Focus on customer/location

Disadvantages:

- Higher cost
-

5.3 Matrix Structure (Emerging in Nepal)

Employees report to two managers:

- Functional manager
- Project manager

Example:

INGOs working in multiple projects.

Advantages:

- Flexibility

Disadvantages:

- Confusion in reporting

Trainer Note:

Matrix structures are challenging in Nepal due to strong hierarchical culture.

5.4 Flat Structure (Startups in Nepal)

Few managerial levels.

Example:

IT startups in Kathmandu.

Advantages:

- Faster decisions

Disadvantages:

- Role ambiguity
-

5.5 Hierarchical Structure (Traditional)

Many levels of authority.

Example:

Government offices in Nepal.

Advantages:

- Clear authority

Disadvantages:

- Slow decision making
-
-

6. Nepal-Specific Perspective

6.1 Cultural Influence on Hierarchy

Nepali workplaces are influenced by:

- Respect for seniority
- Power distance
- Formal communication

Trainer Insight:

Seniority still plays a stronger role in Nepal compared to Western organizations.

6.2 Labour Act & Organogram Relevance

Labour inspections often check:

- Reporting clarity
- Supervisor responsibilities
- Worker welfare accountability

Organogram helps ensure compliance.

6.3 Trade Unions and Hierarchy (Manufacturing)

In Nepalese industries:

- Workers may belong to unions
- Hierarchy must support grievance handling

Clear organograms reduce labour disputes.

7. HR Role in Managing Hierarchy and Organogram

HR department must:

1. Maintain updated organogram
2. Ensure job descriptions align with hierarchy
3. Communicate reporting lines
4. Support restructuring when needed

5. Link hierarchy with salary grades
6. Use organogram for succession planning

Trainer Note:

HR is the “structure custodian” of the organization.

8. Common Challenges in Nepal

1. Informal structures in SMEs
 2. Family dominance in decision-making
 3. Outdated organograms
 4. Overlapping roles
 5. Resistance to restructuring
 6. Lack of documentation culture
-

✓ 9. Best Practices (Trainer Recommendations)

- Update organogram annually
- Communicate structure during onboarding
- Align hierarchy with performance system
- Ensure clarity in roles and reporting
- Use organogram in HR planning and audits

Trainer Quote:

“Structure does not reduce flexibility; it creates clarity.”

✓ 10. Conclusion

Organizational hierarchy and organograms are foundational tools of HR management.

In Nepal’s evolving workplace environment, clear structure ensures:

- ✓ Accountability
- ✓ Productivity
- ✓ Discipline
- ✓ Compliance
- ✓ Growth readiness

✓ Performance Management & Appraisal System

I. Introduction

In every organization, the success of business depends on:

- Employee performance
- Productivity
- Accountability
- Continuous improvement

Performance management is the HR system that ensures:

- ✓ Employees contribute effectively
- ✓ Organizational goals are achieved
- ✓ Talent is developed and retained

Trainer Note:

In Nepal, performance appraisal is often misunderstood as “salary increment formality,” but modern HR views it as a strategic tool.

2. Meaning of Performance Management

Definition

Performance Management is a continuous process of:

- Planning employee work
- Monitoring progress
- Evaluating results
- Providing feedback
- Improving performance

In simple words:

Performance Management = Managing performance throughout the year, not only once annually.

3. Meaning of Performance Appraisal

Performance appraisal is:

A formal evaluation of an employee's performance during a specific period.

Appraisal is only **one component** of performance management.

4. Difference: Performance Management vs Performance Appraisal

Performance Management	Performance Appraisal
Continuous process	Annual/periodic event
Focuses on improvement	Focuses on evaluation
Involves feedback and coaching	Involves ratings and scoring
Strategic HR approach	Traditional HR tool

Trainer Insight:

Many Nepalese organizations only do appraisal, not performance management.

5. Objectives of Performance Management System

A good PMS aims to:

1. Improve employee performance
2. Align employee goals with organizational goals
3. Identify training needs
4. Support promotion and succession planning
5. Provide fair basis for rewards and increments
6. Enhance accountability and transparency
7. Reduce workplace conflict and bias

Nepal Context:

- Helps prevent favoritism claims
 - Supports compliance and documentation
 - Essential for large organizations and donor-funded NGOs
-

6. Performance Management Cycle (Trainer Model)

A modern PMS follows a continuous cycle:

Step 1: Performance Planning

- Set goals and KPIs
- Clarify job expectations

Example (Nepal Manufacturing):

- Operator target: 100 units/day
 - Defect rate below 2%
-

Step 2: Performance Monitoring

- Regular supervision
- Monthly or quarterly review

Trainer Note:

Nepali managers often skip monitoring and only evaluate at year-end.

Step 3: Performance Evaluation/Appraisal

- Compare actual vs expected performance
 - Use rating scales or KPI achievement
-

Step 4: Feedback & Coaching

- Two-way discussion
- Strengths and improvement areas

Nepalese cultural challenge:

Employees hesitate to speak openly due to hierarchical culture.

Step 5: Reward & Development Action

- Promotion
- Increment

- Training
- Performance Improvement Plan (PIP)

7. Key Performance Indicators (KPIs)

Meaning

KPIs are measurable performance standards.

Examples in Nepalese Sectors

Sector	Sample KPIs
Manufacturing	Output/day, defect rate, safety compliance
Banking	Loan recovery %, customer satisfaction
NGO	Project milestones, donor reporting quality
Hydropower	Site completion targets, accident-free days
Hospitality	Guest satisfaction rating, service speed

Trainer Tip:

KPIs must be SMART: Specific, Measurable, Achievable, Relevant, Time-bound.

8. Performance Appraisal Methods

Common Methods Used in Nepal

8.1 Rating Scale Method (Most Popular)

Employees rated from 1–5 on factors like:

- Discipline
- Teamwork
- Productivity

Advantage: Simple

Disadvantage: Subjective bias

8.2 KPI-Based Appraisal (Modern)

Appraisal based on achievement of targets.

Example:

- Sales officer target: NPR 50 lakh/month
- Achievement: NPR 45 lakh = 90%

Trainer Note:

KPI appraisal is growing in Nepali banks and corporates.

8.3 360-Degree Feedback (Emerging)

Feedback collected from:

- Supervisor
- Peers
- Subordinates
- Customers

Used mostly in INGOs and corporate leadership programs.

8.4 Management by Objectives (MBO)

Goals set jointly by manager and employee.

Example (NGO):

- Complete 3 training programs by Q2.
-

8.5 Behavioral Appraisal (BARS)

Focuses on specific behaviors.

Example:

- Safety compliance in factories
-

9. Performance Appraisal Process (Nepal HR SOP)

A standard process:

1. HR designs appraisal forms and timeline
2. Employees complete self-assessment
3. Supervisor evaluation
4. Review committee moderation
5. Feedback meeting
6. HR records final rating
7. Decisions on increment, promotion, training

Trainer Insight:

Moderation committee helps reduce favoritism, common concern in Nepal.

10. Linking PMS with Rewards in Nepal

In Nepalese organizations appraisal is linked with:

- Annual salary increment
- Dashain bonus decisions (in some firms)
- Promotion
- Training nomination
- Contract renewal (NGOs/projects)

Trainer Note:

Appraisal must not be only about money; development is equally important.

11. Challenges of PMS in Nepal

1. Bias and favoritism
2. Lack of objective KPI setting
3. Poor documentation
4. Appraisal treated as routine formality
5. Limited feedback culture
6. Political influence in public sector

7. Trade union pressure in manufacturing

Trainer Quote:

The biggest weakness is “annual appraisal without year-round performance management.”

12. Best Practices for Nepalese Organizations

- ✓ Set clear job descriptions
- ✓ Introduce KPI-based evaluation
- ✓ Train supervisors on fair appraisal
- ✓ Conduct quarterly feedback sessions
- ✓ Maintain proper documentation
- ✓ Use appraisal for training and growth
- ✓ Ensure transparency and employee involvement

Trainer Note:

A good PMS reduces labour disputes and increases productivity.

13. Nepal-Specific Case Example

Case: High Turnover in a Kathmandu IT Company

Problem:

- Developers leaving after appraisal cycle

Analytics Findings:

- Appraisal not linked with growth opportunities
- Low recognition

HR Solution:

- Transparent KPI system
- Career ladder plan
- Quarterly feedback coaching

Outcome:

- Retention improved by 15%

I4. Trainer Closing Message

Performance Management is not a form.

It is:

A culture of continuous improvement, accountability, and development.

In Nepal's competitive market, organizations that manage performance strategically will:

- ✓ retain talent
- ✓ improve productivity
- ✓ reduce disputes
- ✓ grow sustainably

KRA and KPI

I. Introduction

In modern organizations, performance is no longer judged by:

- Only seniority
- Supervisor's personal opinion
- Annual confidential reports
- General comments like “good employee”

Instead, performance is measured through:

✓ **KRA (Key Result Areas)**

✓ **KPI (Key Performance Indicators)**

Trainer Note:

Nepalese organizations, especially banks, manufacturing industries, hydropower projects, and INGOs, are now adopting KRA & KPI systems to improve transparency and accountability.

✓ 2. What is KRA? (Key Result Areas)

2.1 Meaning

KRA (Key Result Area) refers to:

The major responsibilities or core areas where an employee must deliver results.

In simple words:

KRA = WHAT you are responsible for

KRAs define the **scope of the job**.

2.2 Importance of KRA

KRAs help to:

- Clarify job expectations
- Link role with organizational goals
- Avoid role confusion
- Provide focus areas for appraisal

Trainer Insight:

In Nepal, many workplaces suffer from unclear roles, where staff are asked to do “everything.” KRAs bring clarity.

2.3 Examples of KRAs (Nepal Context)

Example 1: HR Officer (Manufacturing Industry, Nepal)

KRAs could be:

1. Recruitment & Staffing
 2. Attendance & Leave Management
 3. Labour Relations & Discipline
 4. Training Coordination
 5. Payroll Support
-

Example 2: Branch Manager (Commercial Bank, Nepal)

KRAs:

1. Deposit Mobilization
 2. Loan Portfolio Management
 3. Customer Service Quality
 4. Branch Compliance & Risk Control
 5. Team Supervision
-

Example 3: Site Engineer (Hydropower Project, Nepal)

KRAs:

1. Project Execution & Progress
2. Safety Compliance
3. Quality Control
4. Contractor Coordination
5. Reporting to Head Office

Example 4: Program Officer (NGO/INGO, Nepal)

KRAs:

1. Project Implementation
2. Donor Reporting
3. Community Coordination
4. Budget Utilization
5. Monitoring & Evaluation

3. What is KPI? (Key Performance Indicator)

3.1 Meaning

KPI (Key Performance Indicator) refers to:

Specific measurable indicators used to evaluate performance under each KRA.

In simple words:

KPI = HOW well you performed

KPI gives **numbers or evidence**.

3.2 Difference Between KRA and KPI

Aspect	KRA	KPI
Meaning	Key responsibility area	Measurement indicator
Focus	WHAT to achieve	HOW to measure achievement
Nature	Broad	Specific and measurable
Example	Recruitment	Time-to-hire, cost-per-hire

Trainer Note:

KRA is the area, KPI is the meter.

4. Relationship Between KRA and KPI

Each KRA will have multiple KPIs.

Example (HR Officer)

KRA: Recruitment & Staffing

KPIs:

- Vacancy filled within 30 days
 - Cost per hire below NPR 15,000
 - 90% new hires complete probation successfully
-

5. SMART KPIs (Trainer Standard)

A KPI must be SMART:

- **S** = Specific
- **M** = Measurable
- **A** = Achievable
- **R** = Relevant
- **T** = Time-bound

Trainer Example (Nepal Manufacturing):

✗ Weak KPI: “Improve attendance”

✓ Strong KPI: “Reduce absenteeism rate from 8% to 4% within 6 months”

6. Nepal-Based Examples of KRAs and KPIs

6.1 Manufacturing Sector Example

Position: Production Supervisor

KRA 1: Production Output

KPIs:

- Daily production target achievement $\geq 95\%$
- Machine downtime reduced by 10%

KRA 2: Quality Control

KPIs:

- Defect rate below 2%
- Customer complaints reduced quarterly

KRA 3: Safety Compliance

KPIs:

- Zero major accidents
- 100% PPE usage enforcement

Trainer Insight:

Nepalese factories must focus strongly on safety KPIs due to Labour Act inspections.

6.2 Banking Sector Example

Position: Loan Officer

KRA 1: Loan Disbursement

KPIs:

- NPR 5 Crore loan disbursement per quarter

KRA 2: Recovery Performance

KPIs:

- NPL ratio below 2%

KRA 3: Customer Service

KPIs:

- Customer satisfaction rating above 4/5

Trainer Note:

KPIs are essential for Nepal Rastra Bank compliance.

6.3 NGO/INGO Example

Position: Monitoring Officer

KRA: Project Monitoring

KPIs:

- 100% field visits completed as planned
- Reports submitted before donor deadline
- Data accuracy above 95%

Trainer Insight:

NGOs in Nepal rely heavily on KPI-based reporting due to donor audits.

6.4 Hydropower Project Example

Position: Safety Officer

KRA: Occupational Health & Safety

KPIs:

- Accident frequency rate below 1%
- Monthly safety drills conducted
- Incident reports submitted within 24 hours

Trainer Note:

Safety KPIs are non-negotiable in hydropower projects.

6.5 Hospitality Sector Example

Position: Front Desk Staff

KRA: Guest Services

KPIs:

- Guest complaint resolution within 10 minutes
 - Customer satisfaction above 90%
-

✓ 7. Benefits of Using KRA and KPI in Nepal

KRAs and KPIs help Nepalese organizations:

- ✓ Reduce favoritism in appraisal
- ✓ Improve transparency
- ✓ Increase productivity
- ✓ Strengthen accountability
- ✓ Meet labour audit requirements
- ✓ Support fair promotions and rewards

Trainer Quote:

KPI system is the answer to “Chiyaa-Guff appraisal culture” in Nepal.

✓ 8. Common Challenges in Nepal

1. KPIs are not measurable (too general)
2. Managers lack training in KPI setting
3. Bias in rating despite KPI system
4. Employees see KPIs as pressure, not support
5. Poor documentation culture in SMEs

Trainer Tip:

Start with simple KPIs and build gradually.

✓ 9. Best Practices for HR Professionals in Nepal

- ✓ Design KRAs based on job description
 - ✓ Limit KRAs to 4–6 per role
 - ✓ Keep KPIs measurable and realistic
 - ✓ Review KPIs quarterly, not only annually
 - ✓ Train supervisors in fair evaluation
 - ✓ Align KPIs with organizational goals
-

✓ 10. Trainer Closing Summary

In performance management:

- **KRA tells the direction**
- **KPI tells the measurement**
- Together, they ensure fairness and accountability

Nepalese organizations adopting KPI-based systems will succeed in:

- ✓ productivity
 - ✓ retention
 - ✓ transparency
 - ✓ growth
-

SWOT Analysis

I. Introduction

In today's organizations, HR professionals must think beyond:

- Recruitment
- Payroll
- Attendance
- Leave administration

Modern HR must support:

- ✓ Strategy
- ✓ Workforce planning
- ✓ Organizational development
- ✓ Competitive advantage

One basic strategic tool used worldwide is:

SWOT Analysis

2. What is SWOT Analysis?

SWOT Analysis is a framework used to identify:

- **Strengths**
- **Weaknesses**
- **Opportunities**
- **Threats**

It helps organizations, departments, or individuals understand their current position and plan future strategies.

In simple words:

SWOT = A tool to assess where we are strong, where we are weak, what chances we can use, and what risks we must avoid.

3. Meaning of SWOT Components

Let us break it down:

✅ S – Strengths

Meaning

Strengths are internal positive factors.

Strength = What the organization does well.

These are resources or capabilities that give advantage.

Nepalese Examples (Organization)

- Strong brand reputation (e.g., Nabil Bank)
- Skilled and loyal workforce
- Good working culture
- Strong distribution network
- Experienced leadership

HR Perspective Strengths

- Effective training system
- Low employee turnover
- Strong employer branding
- Transparent HR policies

Trainer Note:

Strengths are under our control. HR should protect and enhance them.

✅ W – Weaknesses

Meaning

Weaknesses are internal negative factors.

Weakness = Where the organization lacks or performs poorly.

Nepalese Examples

- Lack of skilled manpower

- Poor HR documentation in SMEs
- Traditional management mindset
- Weak performance appraisal system
- High absenteeism in factories

HR Perspective Weaknesses

- No KPI-based evaluation
- Favouritism in promotion
- Low training budget
- Poor succession planning

Trainer Insight:

Many Nepali organizations suffer not from lack of talent, but from lack of systems.

O – Opportunities

Meaning

Opportunities are external positive factors.

Opportunity = External chances for growth or improvement.

Nepalese Examples

- Growing hydropower sector
- Expansion of IT outsourcing industry
- Increased youth entrepreneurship
- Foreign investment in Nepal
- Rising demand for skilled HR professionals

HR Perspective Opportunities

- Online learning platforms
- HR digitalization (HRIS systems)
- Government focus on employment generation
- Increasing corporate training market

Trainer Note:

Opportunities must be grabbed quickly before competitors do.

✓ T – Threats

Meaning

Threats are external negative factors.

Threat = External risks that can create problems.

Nepalese Examples

- Brain drain / foreign migration
- Political instability and strikes
- Labour union pressure in manufacturing
- Rising competition in banking
- Inflation increasing wage expectations

HR Perspective Threats

- High employee turnover after Dashain
- Talent shortages in technical roles
- Labour law compliance risk
- Workplace conflict and disputes

Trainer Insight:

In Nepal, migration is one of the biggest HR threats today.

4. SWOT Matrix (Visual Model)

Internal Factors External Factors

Strengths (S) Opportunities (O)

Weaknesses (W) Threats (T)

5. Example SWOT Analysis (Nepal Manufacturing Industry)

Scenario:

A garment factory in Biratnagar wants to improve HR strategy.

Strengths

- ✓ Skilled machine operators
- ✓ Strong production capacity
- ✓ Established market presence

Weaknesses

- ✗ High absenteeism
 - ✗ Weak safety compliance
 - ✗ Limited supervisor training
-

Opportunities

- ✓ Growing export demand
 - ✓ Government support for industries
 - ✓ Availability of vocational training institutes
-

Threats

- ⚠ Labour union disputes
- ⚠ Foreign migration of workers
- ⚠ Competition from Indian products

Trainer Note:

SWOT helps HR prioritize retention, safety, and skill development strategies.

6. SWOT Analysis for HR Department (Nepal Example)

Strengths

- Experienced HR team
- Good recruitment network

Weaknesses

- Manual record keeping
- No HR analytics system

Opportunities

- Digital HR software adoption
- Training partnerships with consultants

Threats

- Labour inspection penalties
- Talent poaching by INGOs

Trainer Insight:

HR can also perform SWOT for itself, not only for the organization.

7. SWOT Analysis for Employees (Career Planning in Nepal)

Example: HR Officer Career SWOT

Strengths: Communication skills, labour law knowledge

Weaknesses: Limited analytics skills

Opportunities: HR certifications growing in Nepal

Threats: Competition from MBA graduates, automation

Trainer Note:

SWOT is useful for individual career development too.

8. How SWOT Supports Strategic HRM in Nepal

SWOT helps HR in:

Workforce Planning

- Predict skill gaps due to migration

Training Strategy

- Improve weaknesses through capacity building

Retention Planning

- Address threats like turnover and brain drain

Policy Development

- Strengthen labour compliance

Trainer Quote:

SWOT is the first step of strategic HR planning in Nepalese organizations.

9. Common Mistakes in Nepal When Doing SWOT

1. Writing general points, not specific
2. Confusing internal vs external factors
3. Making SWOT but not implementing strategies
4. Ignoring real threats like migration
5. Not involving employees in SWOT discussion

Trainer Tip:

SWOT is useful only when followed by action planning.

10. From SWOT to HR Strategy (SO, WO, ST, WT)

SWOT leads to strategic actions:

SO Strategy (Use strengths to grab opportunities)

Example:

- Use skilled workforce to expand exports

WO Strategy (Fix weaknesses using opportunities)

Example:

- Use vocational institutes to reduce skill gap

ST Strategy (Use strengths to reduce threats)

Example:

- Use strong culture to reduce turnover

WT Strategy (Minimize weakness and avoid threats)

Example:

- Improve compliance to avoid labour penalties
-

11. Trainer Discussion Questions

1. What is the biggest HR threat in Nepal today?
 2. How can HR address weakness of informal systems?
 3. Conduct SWOT for a hydropower project workforce.
 4. Why is SWOT important before designing HR policies?
-

12. Conclusion (Trainer Closing)

SWOT Analysis is a simple but powerful strategic tool.

For Nepalese HR professionals, SWOT helps to:

- ✓ Understand organizational realities
- ✓ Respond to migration and skill challenges
- ✓ Build competitive workforce strategies
- ✓ Strengthen HR's strategic role

Trainer Closing Quote:

“In Nepal, organizations that know their SWOT clearly will survive and grow faster.”

✓ HR Audit

Nepalese Perspective for HR Trainees

I. Introduction

In Nepal, organizations are becoming more formal and regulated due to:

- Labour Act 2074 enforcement
- Mandatory Social Security Fund (SSF)
- Increased labour inspections
- Donor compliance requirements (NGOs/INGOs)
- Growing employee awareness of rights

Therefore, organizations must regularly review:

- ✓ HR policies
- ✓ HR documentation
- ✓ Legal compliance
- ✓ HR system effectiveness

This process is called:

HR Audit

2. Meaning of HR Audit

Definition

HR Audit is a systematic examination and evaluation of:

- HR policies
- HR procedures
- HR practices
- Legal compliance
- Employee documentation

In simple terms:

HR Audit = Health Check-up of the HR Department

Trainer Note:

Just like financial audit checks accounts, HR audit checks people systems.

3. Objectives of HR Audit

An HR audit is conducted to:

1. Ensure compliance with Labour Act 2074
2. Improve HR efficiency and effectiveness
3. Identify gaps in HR documentation
4. Reduce legal risks and labour disputes
5. Strengthen employee trust and transparency
6. Prepare for labour inspections and donor audits
7. Align HR practices with organizational strategy

Trainer Insight:

In Nepal, most HR problems arise not from wrong intention, but from missing documentation.

4. Importance of HR Audit in Nepal

HR Audit is especially important because:

4.1 Labour Office Inspections Are Increasing

Factories and companies are frequently inspected on:

- Appointment letters
- Overtime payments
- Leave records
- Safety compliance

4.2 Mandatory SSF Compliance

Organizations must ensure:

- All employees enrolled
- Contributions deposited on time

4.3 High Risk of Labour Disputes

Common disputes in Nepal relate to:

- Termination procedures
- Salary and benefits

- Union involvement

4.4 NGO/INGO Donor Audits

HR audits are required to ensure:

- Fair recruitment
- Proper contracts
- Policy compliance

Trainer Note:

HR audit is now a survival requirement in Nepalese organizations.

5. Types of HR Audit

5.1 Compliance Audit

Focus: Legal compliance

Example in Nepal:

- Labour Act 2074 compliance
 - SSF registration
 - Minimum wage adherence
-

5.2 Best Practice Audit

Focus: Comparing HR practices with industry standards

Example:

- KPI-based appraisal systems
 - Modern recruitment practices
-

5.3 Strategic HR Audit

Focus: HR alignment with organizational strategy

Example:

- Workforce planning for hydropower expansion
 - Retention strategy in IT sector
-

5.4 Functional HR Audit

Focus: Specific HR functions

Example:

- Recruitment audit
 - Payroll audit
 - Training audit
-
-

6. Key Areas Covered in HR Audit (Nepal Context)

6.1 Recruitment & Appointment Audit

Audit checks:

- Job descriptions available
- Transparent hiring process
- Selection documentation
- Written appointment letters issued

Nepal Compliance:

- Appointment letter mandatory under Labour Act
-

6.2 Employee Records & Documentation Audit

Audit verifies:

- Personal files maintained
- Citizenship copies
- Contract agreements
- Performance records

Trainer Note:

Missing employee files is one of the most common HR weaknesses in Nepali SMEs.

6.3 Payroll & Compensation Audit

Audit checks:

- Salary structure compliance
- Minimum wage adherence
- Payslip issuance
- Overtime calculation correctness
- Tax and SSF deductions

Nepal-specific requirement:

- SSF contribution must be deposited regularly
-

6.4 Leave & Attendance Audit

Audit verifies:

- Attendance registers (biometric/manual)
- Leave entitlement compliance
- Festival leave arrangements

Legal Leave Standards:

- Annual: 18 days
 - Sick: 12 days
 - Maternity: 98 days
 - Paternity: 15 days
-

6.5 Performance Management Audit

Audit checks:

- Appraisal system presence
- KPI/KRA documentation
- Bias reduction mechanisms
- Promotion linkage

Trainer Insight:

Many Nepali organizations conduct appraisal only for increment purposes, not development.

6.6 Training & Development Audit

Audit checks:

- Training needs assessment
- Annual training plan
- Training records
- ROI evaluation

NGO Perspective:

- Donors require training documentation
-

6.7 Employee Relations & Discipline Audit

Audit verifies:

- Grievance handling mechanism
- Disciplinary process compliance
- Union relations management

Nepal Context:

- Manufacturing industries are sensitive due to trade unions.
-

6.8 Occupational Health & Safety Audit (Critical in Nepal)

Audit focuses on:

- PPE availability
- Safety training records
- Accident reporting system
- Factory welfare provisions

Highly relevant sectors:

- Manufacturing
- Hydropower
- Construction

Trainer Note:

Safety audit is often the first priority for labour inspectors.

6.9 Exit & Separation Audit

Audit checks:

- Resignation documentation
- Notice period compliance
- Final settlement records
- Service certificate issuance

Nepal Requirement:

- Service letter is mandatory
-

7. HR Audit Process (Trainer Framework)

Step 1: Planning

- Define audit scope
- Prepare checklist

Step 2: Data Collection

- Review employee files
- Conduct interviews
- Check HR records

Step 3: Compliance Verification

- Compare practices with Labour Act 2074
- Identify gaps

Step 4: Audit Report Preparation

- Findings
- Risk areas
- Recommendations

Step 5: Corrective Action Plan

- HR improvement roadmap
- Policy updates
- Training for managers

Trainer Note:

Audit is useless if recommendations are not implemented.

8. Common HR Audit Findings in Nepal

1. Employees working without appointment letters
2. SSF non-compliance for contract staff
3. Over-time not properly paid
4. No written disciplinary procedures
5. Poor safety documentation
6. Outdated organograms and job descriptions
7. Weak grievance handling systems

Trainer Quote:

HR audit exposes the hidden risks that can become major disputes later.

9. Benefits of HR Audit in Nepalese Organizations

- ✓ Reduced labour disputes
 - ✓ Better legal compliance
 - ✓ Improved employee trust
 - ✓ Strong documentation culture
 - ✓ Higher HR professionalism
 - ✓ Improved readiness for inspections and audits
 - ✓ Better organizational performance
-

10. Trainer Closing Message

HR audit is not about fault finding.

It is about:

Ensuring the organization is fair, compliant, and professionally managed.

In Nepal's evolving labour market, HR audit is essential for:

- ✓ sustainability
- ✓ compliance
- ✓ good governance

Trainer Closing Quote:

“A strong HR system is not built by policies alone, but by regular HR audits and continuous improvement.”

✓ Full and Final Settlement (F&F)

1. Introduction

Whenever an employee leaves an organization, HR must ensure that:

- All dues are cleared
- All payments are settled legally
- Documentation is completed properly
- The exit process remains conflict-free

This process is known as:

Full and Final Settlement (F&F Settlement)

Trainer Note:

In Nepal, many labour disputes happen because F&F is delayed or wrongly calculated.

2. Meaning of Full and Final Settlement

Definition

Full and Final Settlement is the complete settlement of:

- Salary dues
- Leave encashment
- Bonus and benefits
- Overtime payments
- Gratuity (if applicable)
- Deductions (SSF, loans, advances)

...when an employee separates from the organization.

In simple words:

F&F Settlement = Closing all financial and service obligations between employer and employee.

3. When is Full and Final Settlement Required?

F&F is done when an employee leaves due to:

1. Resignation
2. Retirement
3. Termination
4. Contract completion
5. Layoff / Retrenchment
6. Death of employee
7. Dismissal due to misconduct

Trainer Insight:

F&F applies to both voluntary and involuntary separation.

4. Legal Basis in Nepal (Labour Act 2074)

Full and final settlement must comply with:

- Labour Act 2074 (Sections related to separation, wages, benefits)
- Labour Rules 2075
- Social Security Fund Act
- Income Tax Act (TDS, tax clearance)

Key legal obligations:

- ✓ Timely salary payment
- ✓ Service certificate mandatory
- ✓ Benefits must be paid as per law and contract

Trainer Note:

Labour Office can penalize employers for non-settlement.

5. Components of Full and Final Settlement (Nepal Context)

✓ 5.1 Last Salary Payment

HR must pay salary until the employee's last working day.

Example:

Employee last day: 15th of month

Salary = NPR 30,000/month

Salary payable:

$$[30,000 \div 30 \times 15 = 15,000]$$

Trainer Tip:

Always calculate salary based on actual days worked.

✓ 5.2 Leave Encashment

If the employee has unused annual leave, it must be encashed.

Labour Act Provision:

- Annual leave entitlement: 18 days
- Unused leave must be compensated

Example:

Unused leave: 5 days

Daily salary: NPR 1,000

$$\text{Leave Encashment} = 5 \times 1,000 = \text{NPR } 5,000$$

Trainer Note:

Leave records must be properly maintained for accurate settlement.

✓ 5.3 Overtime Dues

Overtime is common in Nepal's manufacturing and hospitality sectors.

HR must settle pending overtime payments.

Example:

Overtime hours: 20

OT rate: NPR 200/hour

$$\text{OT Pay} = 20 \times 200 = \text{NPR } 4,000$$

Trainer Insight:

OT disputes are very common in factories—keep proper OT registers.

✓ 5.4 Bonus and Festival Allowance

Nepalese organizations often provide:

- Dashain bonus

- Performance bonus
- Incentive schemes

Labour Act requires:

- Festival allowance equivalent to one month salary (as applicable)

Example:

Employee leaves before Dashain → bonus eligibility depends on policy.

Trainer Note:

Bonus calculation should be clearly mentioned in HR policy.

✓ 5.5 Gratuity (If Applicable)

Employees may be eligible for gratuity depending on:

- Length of service
- Labour Act provisions
- SSF contribution scheme

Trainer Tip:

In Nepal, gratuity is now largely replaced/managed through SSF, but some organizations still provide it separately.

✓ 5.6 Social Security Fund (SSF) Clearance

SSF is mandatory in Nepal.

HR must ensure:

- Contributions deposited
- Employee exit updated in SSF system
- Final contribution calculated

Trainer Note:

SSF compliance is a must during employee exit.

✓ 5.7 Deductions and Recoveries

HR can deduct:

- Salary advances

- Loans
- Unreturned company assets
- Notice period shortfall (if applicable)

Example:

Laptop not returned → deduction NPR 50,000

Trainer Insight:

Deductions must be documented and agreed, otherwise disputes arise.

5.8 Final Settlement Statement

HR must prepare a clear statement showing:

Earnings:

- Salary
- Leave encashment
- Bonus
- OT

Deductions:

- SSF
- Loans
- Tax

Net Payable Amount

Trainer Note:

Transparency is the key—employee should sign the settlement sheet.

6. Full and Final Settlement Process (HR SOP)

Step 1: Resignation/Exit Confirmation

- Acceptance letter issued

Step 2: Clearance Process

Departments confirm:

- ID card returned
- Tools/assets returned
- No pending dues

Step 3: Calculation of Payables

HR + Finance calculate final dues

Step 4: Settlement Approval

Authorized management approval required

Step 5: Payment Disbursement

Payment via bank transfer preferred

Step 6: Exit Documentation

Provide:

- ✓ Experience letter
- ✓ Service certificate
- ✓ Tax documents (if needed)

Trainer Note:

Service certificate is mandatory under Labour Act.

7. Time Limit for Settlement (Nepal Practice)

Although organizations differ, best practice is:

- Settlement within **30 days of exit**

Delays can lead to:

- Labour complaints
- Legal penalties
- Reputation damage

Trainer Quote:

Delayed settlement is the fastest way to invite labour disputes.

8. Common Challenges in Nepal

1. Poor leave and OT recordkeeping
2. Manual payroll systems in SMEs
3. Disputes over bonus eligibility
4. Union involvement in factories
5. SSF clearance confusion
6. Lack of written HR exit policy

Trainer Note:

Documentation discipline is weak in many Nepali organizations, making F&F difficult.

9. Best Practices for HR in Nepal

- ✓ Maintain updated attendance, leave, OT records
- ✓ Have written exit and settlement policy
- ✓ Communicate settlement timeline clearly
- ✓ Conduct exit interview professionally
- ✓ Ensure SSF compliance
- ✓ Avoid unnecessary deductions
- ✓ Provide service certificate immediately

Trainer Insight:

A well-managed exit process builds employer brand in Nepal's small job market.

10. Nepal-Based Practical Case Example

Case: Factory Worker Exit Dispute (Hetauda)

Worker resigned after 2 years.

Issues:

- OT not recorded properly
- Leave balance unclear
- Bonus dispute

HR Action:

- Audit OT register
- Calculate leave encashment
- Pay settlement within 15 days
- Provide service letter

Outcome:

- ✓ Dispute avoided
- ✓ Union conflict prevented

Trainer Lesson:

Proper F&F process prevents industrial unrest.

11. Trainer Closing Summary

Full and Final Settlement is not just an accounting task.

It is:

- ✓ A legal obligation
- ✓ A trust-building process
- ✓ A dispute prevention tool
- ✓ A professional HR responsibility

Trainer Closing Quote:

“Employees may forget their salary, but they never forget how the organization treated them when they left.”

MODULE 2: RECRUITER FUNCTIONS (TALENT ACQUISITIONS)

I. HR Planning (Human Resource Planning)

Meaning

HR Planning is the process of ensuring that the organization has the **right number of people**, with the **right skills**, at the **right time**, in the **right positions**.

Importance in Nepal

In Nepal, HR planning is essential due to:

- High unemployment but low skilled manpower availability
- Foreign labor migration
- Growing private sector and startups
- Skill gap in industries like IT, Hospitality, Banking

Steps in HR Planning

1. **Analyze Organizational Goals**
 - Example: Expansion of a bank branch in Pokhara
2. **Current Workforce Assessment**
 - Employee strength, skill level, turnover rate
3. **Demand Forecasting**
 - How many employees will be needed?
4. **Supply Forecasting**
 - Availability of manpower internally and externally
5. **Gap Analysis**
 - Shortage or surplus of employees
6. **HR Action Plan**
 - Recruitment, training, transfers, outsourcing

Challenges in Nepal

- Lack of skilled workers
- Braindrain and migration
- Informal employment culture

2. Recruitment Policy and Implementation

Meaning

Recruitment policy refers to the organizational guidelines and procedures to hire employees fairly and efficiently.

Key Elements of Recruitment Policy

- Equal opportunity hiring
- Internal vs External recruitment
- Ethical hiring standards
- Compliance with Nepal Labour Act 2074

Recruitment Policy Implementation in Nepal

Organizations implement recruitment through:

- HR departments
- Outsourced recruitment agencies
- Public Service Commission (Lok Sewa) for government jobs

Legal Considerations

Recruitment must follow:

- Labour Act, 2074
- Social Security Fund (SSF) enrollment rules
- Inclusive hiring in some sectors

3. Job Description (JD) & Job Specification (JS)

Job Description

A Job Description defines:

- Job title
- Responsibilities
- Reporting authority
- Working conditions
- Location

Example (Nepal): HR Officer in Kathmandu

- Payroll management
- Recruitment handling
- SSF documentation

Job Specification

Job Specification outlines:

- Educational qualification
- Skills required
- Experience level
- Personality traits

Example:

- Bachelor in Management
- 2 years HR experience
- Knowledge of Labour Law

Importance

- Helps attract suitable candidates
- Reduces hiring errors
- Improves performance evaluation

4. Sources / Methods of Recruitment

A. Internal Recruitment

Filling vacancies from within the organization.

Methods:

- Promotion
- Transfer
- Employee referrals

Advantages

- Motivates staff
- Lower cost
- Faster hiring

B. External Recruitment

Hiring candidates from outside.

Common sources in Nepal:

1. **Job Portals**
 - Kuamrijob, Merojob, Jobsnepal, Kantipur Jobs
2. **Newspaper Ads**
 - Kantipur, Annapurna Post
3. **Campus Recruitment**
 - TU, KU, PU graduates
4. **Recruitment Agencies**
 - Especially for senior roles
5. **Social Media**
 - LinkedIn, Facebook HR groups

Emerging Trend in Nepal

- Digital recruitment and online interviews

5. Overview of Selection Process

Selection is the process of choosing the best candidate from the applicant pool.

Steps in Selection Process

1. Application Screening
2. Initial Shortlisting
3. Employment Tests
4. Interview Round(s)
5. Reference Verification
6. Medical Test (if required)
7. Final Decision & Offer Letter
8. Appointment Letter and Joining

Nepalese Practice

In Nepal, selection often includes:

- Academic priority
- Experience-based hiring
- Cultural fit importance

6. Overview on Different Modes of Interviews

1. Face-to-Face Interview

Traditional and widely practiced in Nepal.

2. Telephone Interview

Used for initial screening.

3. Online Interview

Increasing due to:

- Remote hiring
- Overseas candidates

Tools:

- Zoom
- Google Meet
- MS Teams

4. Panel Interview

Multiple interviewers evaluate candidate.

Common in:

- Banks
- NGOs
- Corporate houses

5. Behavioral Interview

Focuses on past experiences.

Example Question:

“Tell me about a time you handled conflict at work.”

6. Stress Interview

Used rarely, mainly for high-pressure jobs.

7. Post Recruitment Activities & Joining Documentation

Once selected, HR must manage onboarding and legal documentation.

Key Post Recruitment Activities

- Issuing Offer Letter
- Salary negotiation
- Orientation program
- Training schedule
- Probation period management

Joining Documentation in Nepal

HR must collect:

- Citizenship copy
- PAN card
- Academic certificates
- Experience letters
- SSF registration form
- Bank account details
- Medical report (if required)
- Appointment acceptance letter

Compliance Requirement

Nepal's Labour Law requires:

- Written contract
- Minimum wage adherence
- Social security contribution

8. Metrics of Job Market Opportunities in Nepal

HR must understand labor market trends.

Key Job Market Metrics

1. **Employment Rate**
2. **Unemployment Rate**
3. **Demand Sectors**
 - IT, Banking, Hydropower, Tourism
4. **Salary Benchmarking**
5. **Skill Shortage Areas**
 - Data analytics
 - Digital marketing
 - Skilled technicians

Current Nepalese Job Market Situation

- Youth seeking foreign employment
- Private sector growth
- Freelancing and gig economy increasing

9. Future Challenges in HR (Nepal Context)

Major Challenges

1. **Brain Drain**
 - Skilled manpower leaving Nepal
2. **Skill Gap**
 - Education not matching industry needs
3. **Retention Issues**
 - High turnover in private companies
4. **Automation and AI**
 - HR digital transformation required
5. **Labour Law Compliance**
 - SSF and contract regulations
6. **Workplace Diversity**
 - Inclusion policies becoming important
7. **Remote Work Culture**
 - Need for flexible HR policies

I0. Overcoming Techniques & HR Best Practices

Strategies for Future HR Success

- ✓ Develop employee engagement programs
- ✓ Offer training & career development
- ✓ Competitive compensation benchmarking
- ✓ Improve employer branding
- ✓ Use HR analytics and digital tools
- ✓ Strengthen onboarding and retention
- ✓ Promote work-life balance and wellness
- ✓ Build strong compliance culture

Nepal-Specific Recommendations

- Partnership with universities for skill development
- Encourage returnee migrant skilled workers
- Promote entrepreneurship and internal talent development

Conclusion for HR Trainees

HR in Nepal is evolving rapidly from traditional personnel management to strategic human capital management. HR trainees must understand recruitment practices, labor laws, selection methods, and future workforce challenges to become competent HR professionals.

MODULE 3: STATUTORY COMPLIANCES & PAYROLL FUNCTION

COMPLIANCES & PAYROLL FUNCTION

✓ COMPENSATION & BENEFITS

1 Introduction to Compensation & Benefits

Meaning:

Compensation refers to the total monetary and non-monetary rewards given to employees in exchange for their work.

Objectives:

- Attract skilled employees
 - Retain talent
 - Motivate employees
 - Ensure legal compliance (Labour Act 2074, SSF Act)
 - Maintain internal and external pay equity
-

2 Salary Components & Designing CTC (Cost to Company)

♦ A. Salary Structure in Nepal

A typical salary structure includes:

1. Basic Salary

- Core component of salary
- Normally 40%–60% of gross salary
- Used for EPF & SSF calculation

2. Dearness Allowance (DA)

- Sometimes merged with basic
- Compensates inflation

3. House Rent Allowance (HRA)

- Optional in Nepal
- Often part of gross

4. Conveyance Allowance

- Transportation expenses

5. Medical Allowance

- Fixed monthly or yearly

6. Special Allowance

- Balancing component

7. Bonus

- Dashain Bonus (1 month basic as per Labour Act)
 - Performance Bonus
-

◆ B. CTC (Cost to Company) Design

CTC Includes:

- Gross Salary (Basic + Allowances)
- Employer's SSF Contribution (20%)
- Insurance premium
- Bonus provision
- Gratuity (if applicable)
- Training cost (optional)

Example (Nepal Context)

If Gross Salary = NPR 40,000

Employer SSF Contribution (20%) = 8,000

Total Monthly CTC = 48,000

Annual CTC = $48,000 \times 12 = 5,76,000$

3 Salary Processing

Steps in Salary Processing:

1. Attendance & Leave Calculation
2. Overtime Calculation
3. Deduction Calculation (SSF, TDS, Advance)
4. Net Salary Calculation

5. Payslip Generation
 6. Bank Transfer
 7. Government Reporting (SSF & TDS)
-

Professional Tax & TDS (Tax Deducted at Source)

◆ **Professional Tax**

In Nepal, there is no separate professional tax like India. Instead, income tax is deducted at source.

◆ **TDS (Income Tax – Nepal)**

As per current Nepal Income Tax Act (Individual Slab – Example Structure):

For Unmarried Individual (Approx Example)

- Up to 5 lakhs → 1% Social Security Tax
- 5 lakh – 7 lakhs → 10%
- 7 lakh – 10 lakhs → 20%
- 10 lakh – 20 lakhs → 30%
- Above → 36%

⚠ HR must verify latest tax slabs each fiscal year.

TDS must be:

- Deducted monthly
 - Deposited to Inland Revenue Department (IRD)
-

5 Overtime (OT) Wages

As per Labour Act 2074:

- Normal working hours: 8 hours/day
- 48 hours/week
- Maximum overtime: 4 hours/day

OT Rate:

1.5 times the basic hourly wage

Example:

Basic salary = 30,000

Daily basic = $30,000 / 30 = 1,000$

Hourly rate = $1,000 / 8 = 125$

OT rate = $125 \times 1.5 = 187.5$ per hour

6 Payroll Software (Practical Exposure)

Common Payroll Systems in Nepal:

- Saral PayPack
- IMS Payroll
- Pivottech HR Software
- Excel-based payroll (small companies)

Payroll Software Features:

- Automatic SSF calculation
- TDS calculation
- Payslip generation
- Attendance integration
- Bank upload file

HR must ensure:

- Data accuracy
 - Confidentiality
 - Backup system
-

7 EPF (Employees Provident Fund)

⚠ EPF mostly applies to government and older private institutions.

Contribution:

- Employee: 10% of Basic
- Employer: 10% of Basic

Total: 20%

EPF is managed by:
Employees Provident Fund Office, Nepal

8 SSF (Social Security Fund – Nepal)

SSF is mandatory for most private sector employees.

SSF Contribution Structure:

Employee Contribution: 11%

- 10% Retirement Fund
- 1% Social Security Tax

Employer Contribution: 20%

- 11% Retirement Fund
- 8.33% Gratuity
- 1.67% Insurance

Total Contribution = 31%

Example:

Basic Salary = 30,000

Employee SSF (11%) = 3,300

Employer SSF (20%) = 6,000

Total deposit = 9,300

9 Industrial Relations (IR Management)

IR means maintaining healthy relations between employer and employees.

Key Areas:

- Grievance handling
- Trade union coordination
- Disciplinary actions
- Conflict resolution
- Collective bargaining

Common IR Challenges in Nepal:

- Union pressure
- Political influence
- Strikes and lockouts
- Labor disputes

Best Practices:

- Clear HR policies
 - Transparent communication
 - Legal compliance
 - Fair treatment
-

10 Insurance (Medical & Accidental)

Types of Insurance in Nepal:

1. SSF Insurance Coverage:

- Medical treatment
- Maternity benefit
- Accident & disability benefit
- Dependent benefit

2. Additional Private Insurance:

- Group Medical Insurance
 - Accidental Insurance
 - Term Life Insurance
-

SSF Claim Process:

1. Submit claim form
2. Attach medical bills
3. Hospital verification
4. Employer verification
5. SSF review
6. Amount transferred to employee

I I Highlights of Labour Act 2074 (Nepal)

Key Points:

- 8 hours per day work
- 48 hours per week
- 1 day weekly leave
- 18 days annual leave
- 12 days sick leave
- 13 days public holidays
- 98 days maternity leave
- Dashain bonus mandatory
- Written employment contract compulsory
- Gratuity provision

I2 Highlights of SSF Act (Nepal)

- Mandatory registration for private sector
- 31% total contribution
- Medical & accident coverage
- Retirement fund accumulation
- Unemployment benefit (limited condition)

Future Challenges in Compensation & Benefits (Nepal)

- Rising salary expectations
- Migration of skilled workforce
- Digital payroll compliance
- Tax law changes
- Inflation impact
- Retention through non-monetary benefits

✅ **Conclusion for HR Trainees**

Compensation & Benefits management in Nepal requires:

- Strong knowledge of Labour Act 2074
- SSF compliance
- Accurate payroll processing
- TDS management
- Industrial relations skills

A professional HR must ensure:

- ✓ Legal compliance
- ✓ Timely salary processing
- ✓ Transparent communication
- ✓ Employee satisfaction